THE BRAND-FUNDED DOCUMENTARY SYSTEM · MODULE 7

Paper: Keeping the Money and the Film

You have a yes. Now you protect two things at once: the money and the film. This module is about the deal memo, the document that turns a handshake into a partnership you can actually collect on, without giving away editorial control in the process.

One rule before anything else: **get a lawyer for any deal, always. The devil is in the details, you're not a trained attorney, so a lawyer always.** This system gives you the skeleton and the language, so you walk into that lawyer's office knowing exactly what you want. It is not a substitute for legal review. The deal-memo skeleton ships as **Template G**, and it's marked for lawyer review before first use for a reason.

Deal memo essentials-and why you need a lawyer, always.

Every deal memo covers these. Missing one is where deals go wrong later. Funding, timing, non-disparagement of each other, mutual indemnity clauses, always write a paragraph about your film so it can never be said at a later date that another film was considered. Simple things that can save you time, money and anxiety down the line.

- **Parties.** Who exactly is contracting, your production entity and the brand's legal entity. Is it a person, a brand, a company, a combination?

- **Amount & payment schedule.** The number *and* when it arrives. A common structure: 50% on signature, 50% on a named milestone. "We'll pay on delivery" with no schedule is a red flag (see below).

- **Deliverables list: exact.** The precise list from your menu, with dates. Vague deliverables become disputes. Name the cutdown count, the screening count, the credit placement.

- **Approval rights: limited to their logo and name usage only.** This is the hinge of the whole memo. The brand gets to approve how its name and logo appear. Nothing else. Not the script. Not the cut. Not the subjects.

- **Editorial independence clause, verbatim.** Use language similar to this:

"Producer retains sole and final editorial control of the Picture. Sponsor's review rights are limited to verification of Sponsor's name/logo usage." And put a time requirement on how

long they are allowed to take to make these decisions, it could hold up production or release of your film.

These clauses are what keeps your film a film. It is non-negotiable. Be sure you have them in the final agreement

- **Term & territory.** How long, and where.
- **Exclusivity scope, category-limited and time-limited.** If you grant exclusivity, it's for a *named category* for a *fixed term*, never "all commerce, forever." Narrow exclusivity protects your ability to stack other sponsors.
- **Termination + refund schedule.** What happens if it ends early, and who's owed what. If the project doesn't complete, what are you obligated to repay or refund?
- **Insurance & E&O note.** Errors-and-omissions coverage; you should have this on all your projects.
- **FTC (Federal Trade Commission) & disclosure compliance.** Branded content has disclosure rules. A "Presented by" credit plus the disclosure norms for branded content keep you compliant. This protects both sides.
- **Tax note, sponsorship vs. charitable gift.** If you're fiscally sponsored, a sponsor who wants deductibility may prefer the money routed as a charitable gift through your fiscal sponsor. Where the sponsor prefers deductibility, route it as charitable, and **get the sponsor's tax counsel to bless it.** Don't improvise tax structure; let their counsel confirm it.
- **No agency / employment.** You're partners, not employer and employee, not principal and agent.
- **Governing law. Which state is this contract based in, and under what legal standings. Colorado law is different to California law is different to New York laws. The governing law will be the state in which the contract was written (possibly yours, but perhaps the brand's if they originate the agreement)**

Red flags or demands to walk from if the brand won't compromise on them.

Some terms aren't negotiation points. They're exits. If a brand insists on any of these, walk:

- **Script approval.** They edit your film; it's now an ad; walk.
- **Subject approval.** They control access to the people who trusted you; walk. Your subjects' trust is your product.
- **"We'll pay on delivery" with no schedule.** No schedule means no enforceable payment. Walk or fix it.
- **Category exclusivity across all commerce.** This blocks your entire stacking strategy for a single deal. Walk or narrow it hard.
- **Verbal-only.** No paper, no deal. If they won't sign, there's nothing to collect.

These five are the difference between a sponsorship and a slow-motion loss of your film. Know them cold so you recognize them on the call, not after signature.

Filmmaker to Filmmaker: I've made plenty of mistakes over my long career as a filmmaker. I make a point of learning from them, so they become teachable moments over regrets. One thing I now do with each client (whether a brand, a sponsor or a consulting client) is trust my gut. The only difficult projects were those I had a gut feeling about before we commenced. Now, I'm in the great position of being able to choose the clients and sponsors I like.

If you're in the position of locking down a contract, and you don't trust the other party, or you have doubts, then place the specific clause in the agreement. If you don't think they're going to pay you, the contract states your funds come up front before any work. And final payment is due before you deliver. I had a client tell me that the contract side of the agreement was taking too long and that "never had he spent so much time on a contract." This is a red flag for me. I have a very seasoned entertainment lawyer, and we knew exactly what we were doing. I correctly assumed that he would be a challenging client. He didn't want the clauses we were adding in the contract to give himself wiggle room and space not to live up to them. Fortunately, I took the amount of time necessary to consider all the reasons why I didn't trust him and implement them into paragraphs in the agreement. This assured me he would have to live up to the agreement or not receive the deliverables.

So, it’s not necessarily a walk-away moment if you don’t entirely trust the other party. It is a moment to discuss with your attorney what elements of the deal you don’t trust they will live up to, and make sure they are addressed in the agreement to the best of your attorney’s ability.

Working the paper step by step

Step 1 , Draft from the skeleton. Open Template G and fill it with the specifics from your Module 6 call: parties, number, schedule, the exact deliverables list, the tier.

Step 2 , Paste the editorial clause verbatim. Don't paraphrase it. The exact language is provided for a reason. It goes in every memo.

Step 3 , Narrow the exclusivity. If exclusivity is in the deal, write it as named-category, time-limited. Never let it read broader than one category for one term.

Step 4 , Scan for red flags. Read the brand's asks against the five red flags. If one appears, address it before signature, narrow it, fix it, or walk.

Step 5 , Get the lawyer. Hand them the deal points you’ve agreed to with your brand or sponsor; this speeds up the process between you and your attorney, and time is money with many lawyers.

The example thread concludes

Dana (fictional; illustrative) turns her yes-in-principle with the regional health plan into paper.

She drafts from Template G: parties named, the phased amount and its schedule (a development portion on signature, the balance on rough cut), and the exact deliverables, the Presenting tier's credit, three cutdowns, one employee screening with Q&A, impact-report co-branding.

She pastes the **editorial independence clause verbatim.** The plan asked to "review the rural clinic section," Dana holds the line: their approval is limited to name and logo usage, per the clause, full stop. She writes the exclusivity as *health-insurance category, 12 months* so she can still bring in the scrubs brand and a hospital system, her **stack** stays intact.

Her deal is through her fiscal sponsor, or her own non-profit if she has that structure set up. Because the plan wants deductibility and Dana has the non-profit status available to her, the money routes as a charitable gift, and the **plan's tax counsel blesses it.**

No red flags survived to signature: there was a whiff of "let's start verbal," which she converted to paper before proceeding. Never leave any point on a conversation only. It all makes its way into print.

That's the method, end to end, from the funding map to signed paper that keeps both the money and the film.

Common mistakes

- **Skipping the lawyer.** Always get one when signing away any rights or accepting funding.
- **Paraphrasing the editorial clause.** Use it verbatim. It's the clause that keeps your film yours.
- **Broad exclusivity.** All-commerce or perpetual exclusivity kills your stack. Named category, fixed term, always.
- **Vague deliverables.** "Some social content" becomes a dispute. Name the counts and dates.
- **Accepting a verbal deal.** No paper, nothing to collect. Verbal-only is a walk.
- **Improvising tax structure.** Route charitable gifts through the fiscal sponsor and let the sponsor's tax counsel confirm it. Don't guess.
- **Trading away subject or script control to close.** These are red flags, not concessions. Walk before you give them up.

Action checklist

- [ ] Drafted the deal memo from Template G with parties, amount, and payment schedule (e.g., 50% on signature, 50% on milestone).
- [ ] Listed deliverables exactly, with dates, from your menu.
- [ ] Limited brand approval rights to name/logo usage only.

- [ ] Pasted the editorial independence clause verbatim.
  - [ ] Wrote exclusivity as named-category, time-limited, never all-commerce or perpetual.
- [ ] Covered term, territory, termination/refund, insurance/E&O, FTC disclosure, tax note, no-agency, governing law.
- [ ] Scanned for all five red flags and resolved or walked from any that appeared.
- [ ] Engaged a lawyer for any deal over $25k; looped in the sponsor's tax counsel on any charitable-gift routing.

That's the system. You've mapped the money, positioned the film, built the list, made the deck, run the outreach, held the call, and papered the deal, with your editorial independence and your subjects' trust intact. Run it again for the next film.

If this was both helpful and successful let us know your wins